Supplemental comment to FinCEN on the AML/CFT Programs NPRM (RIN 1506-AB72)

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To the Director of the Financial Crimes Enforcement Network

Date: June 9, 2026

Re: Supplemental comment to Docket FINCEN-2026-0034, RIN 1506-AB72, Anti-Money Laundering and Countering the Financing of Terrorism Programs; supplementing the comment of record at regulations.gov comment FINCEN-2026-0034-0008 (filed April 18, 2026)

This is a supplemental comment to the comment our program filed on this docket on April 18, 2026, which appears on the record at regulations.gov as comment FINCEN-2026-0034-0008. That comment offered seven recommendations on the proposed AML/CFT program rule. This supplement adds one focused point and does not restate the recommendations already on the record. It is limited to a single matter on which first-party empirical evidence has become available to us since the April filing.

The point concerns Recommendation 4 of our comment of record, which urged FinCEN to preserve and clarify the requirement that the AML/CFT officer be located in the United States, and argued that the United States based officer should hold effective supervisory control over the United States nexus operations and meaningful authority over the AML/CFT program, rather than a nominal title. We raised the concern that an institution with United States facing activities could situate its AML/CFT officer abroad by characterizing those activities as technical rather than supervisory. Our April comment made that argument as a reasoned position. It did not offer first-party measurement of how far the nominal locus of responsibility can in practice diverge from the effective locus of control.

The proposed rule is squarely concerned with that divergence. The preamble at Section V.D.3 states that the proposed rule "is not intended to be primarily concerned with the formal title of the individual responsible for establishing and implementing the AML/CFT program," and instead "focuses on the AML/CFT officer's position in the financial institution's organizational structure that enables the AML/CFT officer to effectively establish and implement the financial institution's AML/CFT program." Question 17 of the proposed rule carries this framing forward to the boundary between functions that may be performed outside the United States and the officer's required location inside it. The question for the agency, in our reading, is this: to keep responsibility from drifting away from the place where it can be exercised, must the location and authority requirement be stated in terms of effective control rather than formal designation? The evidence below speaks to whether that drift is a rare edge case or a common outcome of delegated authority.

We have completed an empirical study of governance concentration, "Auditing Governance Concentration Beyond Token Allocation: A Live-Governance Study of 52 Token Protocols," accepted for publication at the peer-reviewed journal Frontiers in Blockchain and available at https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6599278. Its fifty-two protocol cross-section spans decentralized finance, decentralized physical infrastructure, and related token-governed systems. The sample consists of token-governed protocols, which are not payment stablecoin issuers, not Bank Secrecy Act financial institutions, and not subject to the proposed rule. We do not advance these protocols as analogues to regulated institutions, and we do not suggest that the rule should reach them. We offer one finding only, a descriptive association measured in a single 2026 cross-section, and we offer it as a transferable method and as a cautionary pattern about delegated authority, not as a claim about any regulated population.

Sufficient governance data exist for eighteen protocols in that sample. In thirteen of those eighteen, under formal delegation of governance authority, effective voting control concentrated above the nominal locus of token holdings. Among those thirteen, the measured divergence between effective control and nominal holdings ranged from a factor of 2.5 times to a factor of 25.6 times, with a mean of approximately 6.8 times and a median of 4.4 times. The remaining five dispersed control instead, by design features specific to their governance architecture. Concentration appeared even under an election rule expressly designed to disperse control, a pattern consistent with a small, self-selected set of active participants more concentrated than the population nominally entitled to vote. The pattern that we document is that where authority is formally delegated, the effective and the nominal loci of control separate by a large and measurable factor in most cases, rather than coinciding or separating only slightly.

The transfer to the agency's question is methodological and cautionary. It is methodological in that the divergence between a formal designation and an effective locus of control can be measured directly, rather than presumed, wherever the underlying authority relationships are observable. It is cautionary in that, in a system where authority is delegated, the modal outcome we observe is separation between the nominal and the effective loci of control, not coincidence between them. A requirement that fixes only the formal location or title of the AML/CFT officer, without a parallel requirement that the officer hold the effective supervisory control that the location is meant to secure, would in our reading leave room for precisely the separation we measure. This evidence is consistent with, and gives empirical weight to, the concern in our Recommendation 4 that effective supervisory control, and not the formal designation alone, is the operative requirement. It indicates that the agency's own stated focus on the officer's effective position, rather than the formal title, is well placed. It also indicates that the divergence the proposed rule guards against is common rather than exceptional in delegated arrangements.

We accordingly reaffirm Recommendation 4 of our comment of record, with this added empirical support: the United States location requirement for the AML/CFT officer is most likely to achieve its purpose if it is paired with an explicit requirement that the officer hold effective supervisory control over the United States nexus operations, because measurement of delegated systems indicates that nominal designation and effective control diverge by a large factor in most cases where authority is delegated. We note that our companion comment on the banking agencies' joint proposal at 91 Fed. Reg. 18304 makes the same effective-supervisory-control request for supervised banks; adopting the clarification here would keep the two parallel rulemakings consistent on this point.

We appreciate the agency's consideration of this supplemental point and of our comment of record.

Respectfully submitted,

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